Attachment C

Affidavit of Gwen Kelly

UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

PJM Interconnection, L.L.C.	**)**	**Docket No. ER27-____-000**

AFFIDAVIT OF GWEN KELLY
ON BEHALF OF PJM INTERCONNECTION, L.L.C.

1. My name is Gwen Kelly. I am the Senior Director, Credit Risk and Collateral Management at PJM Interconnection, L.L.C. ("PJM"). My business address is 2750 Monroe Boulevard, Audubon, Pennsylvania 19403.

2. I hold a Bachelor of Business Administration from the University of Hartford. I have more than 34 years of experience in credit and collateral management, including approximately 29 years in credit, treasury, and finance functions at subsidiaries of Public Service Enterprise Group, Inc. I have served in my current position at PJM since March 2021.

3. In my current position, I am responsible for overseeing PJM's credit risk management program, including the development and administration of collateral requirements and the evaluation of financial risks associated with participation in PJM-administered markets.

4. The purpose of this affidavit is to explain and support PJM's revised proposal for determining the credit requirements applicable to Load Serving Entities ("LSE") allocated responsibility for charges associated with the Reliability Backstop Procurement ("RBP"). Specifically, I explain the credit risk considerations underlying the proposal, the economic analysis used to determine the proposed collateral level, and the manner in which the resulting credit requirements will be calculated and administered.

5. I participated in the development and evaluation of the revised methodology. My statements are based on my experience in credit risk management, my responsibilities at PJM, and my review of the analyses underlying the proposal.

I. Credit Risks Associated with Long-Term RBP Commitments

6. The RBP provides for the procurement of capacity resources through commitments that may extend for up to 15 years. LSEs allocated responsibility for RBP Charges will have payment obligations associated with those commitments. The purpose of the buyer-side requirements is to mitigate the risk that an LSE will fail to satisfy those obligations, potentially resulting in unpaid amounts that may be allocated to other LSEs.

7. In developing the proposed credit methodology, PJM considered the long-term nature of RBP commitments. Although RBP Charges are calculated and settled periodically, the underlying procurement commitments extend over a substantially longer period. From a credit risk management perspective, PJM must establish appropriate protection against the financial exposure associated with those commitments over their terms.

8. Assessing credit exposure over the term of an RBP commitment is not the same as estimating an LSE's payment obligations for an individual Delivery Year. The periodic calculation of payment obligations does not necessarily mean that collateral requirements should be based primarily on expected payment exposure for each individual Delivery Year.

9. Under the RBP settlement provisions, RBP Charges are calculated using a contract-for-differences mechanism. The RBP clearing price is established through the procurement process, but the Reliability Pricing Model ("RPM") clearing prices used to calculate future settlement amounts are not known when the RBP commitments are established. Although RPM clearing prices affect RBP Charges, they are not inputs to PJM's proposed calculation of the RBP LSE credit requirement.

10. As a result, the actual RBP Charges payable over the commitment term may be substantially lower than the gross payment obligation calculated using the RBP clearing price. However, the amount of those future settlement obligations cannot be determined with certainty when the RBP commitments are established.

11. One alternative approach to determining collateral requirements, which PJM is not proposing, would be to forecast future RPM clearing prices and use the estimated differences between those prices and the RBP clearing price to calculate expected payment exposure. Although such an approach could more closely reflect anticipated settlement obligations, it would depend on forecasts of RPM clearing prices extending many years into the future.

12. Another approach would be to periodically adjust collateral requirements as future RPM clearing prices become known. Such adjustments could account for changes in expected payment exposure, but their effectiveness would depend on PJM's ability to obtain additional collateral when needed.

13. An increase in payment exposure may occur at a time when an LSE's financial condition has deteriorated or when the LSE is otherwise unable to satisfy an additional collateral requirement. Under those circumstances, PJM could be left with insufficient collateral to secure the LSE's payment obligations.

14. Accordingly, PJM favors a methodology that establishes meaningful credit protection based on long-term RBP commitments rather than making that protection substantially dependent on forecasts of future RPM clearing prices or on the ability to obtain additional collateral over time.

15. This does not mean that PJM assumes LSEs will ultimately pay the full gross value of their allocated RBP commitments, nor does it mean that collateral must equal the full gross value of those commitments. Instead, the RBP weighted-average clearing price provides a known and objectively determinable basis for calculating collateral requirements, while the appropriate level of collateral is determined through a separate economic analysis.

II. Objective of the Revised LSE Credit Methodology

16. PJM's revised proposal is designed to establish a collateral requirement that balances the cost of providing collateral against the expected cost of socialized losses resulting from LSE payment defaults.

17. In evaluating the appropriate amount of collateral, PJM considered two principal categories of costs. The first is the cost incurred by LSEs in posting the required collateral. The second is the expected cost of socialized default amounts that may be borne by non-defaulting LSEs if an LSE fails to satisfy its RBP payment obligations.

18. These costs generally move in opposite directions as the amount of collateral changes. As the proportion of the gross RBP payment obligation secured by collateral increases, the cost of posting collateral increases, while the expected cost of socialized default amounts decreases.

19. Accordingly, PJM sought to identify the collateral percentage at which the combined expected costs of posting collateral and socialized default amounts are minimized.

20. This approach recognizes that requiring collateral equal to the entire gross RBP payment obligation would not necessarily produce the most economically reasonable result. Although additional collateral reduces the amount of unsecured exposure, it also imposes costs on the LSEs required to provide it.

21. Similarly, a collateral requirement based primarily on minimizing the cost of posting collateral could result in insufficient protection against payment defaults, potentially leaving other LSEs to bear the resulting losses.

III. Economic Analysis Supporting the Proposed Collateral Requirement

22. To determine the appropriate collateral percentage, PJM performed an economic analysis evaluating the cost of posting collateral and the expected cost of socialized default amounts at different collateral levels, expressed as percentages of the net present value of the total RBP payment obligation.

23. The principal inputs to this analysis include the weighted-average RBP clearing price, the credit quality of the LSE portfolio, the probability of default, the loss given default, and the cost of posting collateral.

24. As noted in PJM's July 31, 2026 transmittal letter and my supporting affidavit for that filing, PJM has used a discount rate of 9.5%, based on the capacity market Weighted Average Cost of Capital developed by The Brattle Group as part of PJM's 2025 periodic review of the Cost of New Entry of Capacity Resources into the PJM Region. PJM considers this rate appropriate for purposes of calculating the net present value of the total RBP payment obligation.[1]

A. Weighted-Average RBP Clearing Price

25. The RBP clearing price is used to calculate the gross payment obligation that serves as the reference for determining collateral requirements. Because different RBP Resources may clear at different prices and have different quantities of committed capacity over their respective commitment terms, PJM proposes to use a weighted-average RBP clearing price.

26. The weighted-average RBP clearing price is calculated by summing, for each RBP Seller and each Delivery Year of its commitment, the product of the applicable RBP clearing price and the committed RBP UCAP MW, and dividing that sum by the total RBP UCAP MW-years associated with those commitments.

27. For purposes of the economic analysis and illustrative calculations, PJM assumed a weighted-average RBP clearing price of $555/MW-day. The actual RBP Credit Rate will be calculated using the weighted-average RBP clearing price determined from the procurement results rather than the illustrative $555/MW-day assumption.

B. LSE Credit Quality and Probability of Default

28. PJM also considered the overall credit quality of the LSEs serving load in the PJM Region in developing its economic analysis. The weighted-average credit rating of this portfolio is BBB, which PJM used as an input to the analysis. A portfolio-level approach is appropriate because potential losses resulting from LSE payment defaults may be shared among non-defaulting LSEs, and the LSEs responsible for RBP payment obligations, as well as their credit quality, may change over the RBP commitment term, which can extend for up to 15 years. Accordingly, PJM's methodology establishes a uniform collateral requirement based on the RBP obligations being secured rather than the individual credit ratings of the LSEs responsible for those obligations.

29. The analysis uses the current LSE portfolio's UCAP MW obligation weighted-average credit rating to determine the probability-of-default assumption. PJM used historical default information published by S&P Global in its *Default, Transition, and Recovery: 2025 Annual U.S. Corporate Default and Rating Transition Study*, particularly Table 11 (Average 10-Year Corporate Transition Rate (1981-2025)(%)), to inform that assumption. Based on this historical default information

[1] The Brattle Group, *Brattle 2025 CONE Report for PJM*, PJM Interconnection, L.L.C., 26-34 (Apr. 9, 2025), https://www.pjm.com/-/media/DotCom/committees-groups/committees/mic/2025/20250411-special/item-1-02-revised-cone-report-final.pdf [https://perma.cc/B3VN-EY34].

and the assumed portfolio credit rating of BBB, PJM's economic analysis uses a probability-of-default assumption of 4.05%.

30. Using a portfolio-wide credit rating assumption is consistent with PJM's objective of establishing a uniform collateral methodology for LSEs assigned responsibility for RBP Charges. This does not mean that every LSE has a BBB credit rating or the same probability of default, but a uniform methodology is appropriate for the reasons discussed above.

C. Loss Given Default

31. Another input is loss given default, which represents the percentage of the relevant payment exposure that PJM would not expect to recover following an LSE default.

32. PJM's economic analysis assumes a loss given default of 100% with respect to unsecured exposure, based on PJM's historical experience with socialized losses resulting from LSE defaults. In those circumstances, PJM has generally not recovered amounts beyond the collateral available to secure the defaulting LSE's obligations. Accordingly, the analysis assumes that any exposure remaining after application of available collateral would not be recovered following a default.

D. Cost of Posting Collateral

33. The analysis also considers the cost incurred by LSEs in posting collateral.

34. PJM's analysis estimates the cost of posting collateral using a bank facility pricing approach based on the five-year historical trend in the 30-day average Secured Overnight Financing Rate ("SOFR"), plus an indicative credit spread associated with the assumed BBB credit rating of the LSE portfolio.

35. PJM's economic analysis uses an assumed cost-of-collateral rate of 4.93%, consisting of (a) a SOFR rate of 3.73% (https://www.newyorkfed.org/markets/reference-rates/sofr); and (b) an indicative average BBB bank facility spread of 1.20%.

36. To calculate the cost of posting collateral, PJM applied the assumed 4.93% annual cost of collateral to the gross RBP payment obligation associated with one MW of committed capacity over a 15-year term, multiplied by the applicable collateral percentage. PJM used a 40% collateral level because, as discussed below, its economic analysis identified that level as minimizing the combined cost of posting collateral and expected socialized default amounts. At that collateral level, using the illustrative weighted-average RBP clearing price of $555/MW-day, the calculated cost of posting collateral is approximately $59,962. This calculation is reflected as Point A in Figure 1 below.

E. Cost of Socialized Default Amounts

37. The cost of socialized default amounts represents the losses that may be borne by non-defaulting LSEs if an LSE fails to satisfy its RBP payment obligations. For illustrative purposes, PJM calculated the expected cost of socialized default amounts using the methodology shown in Table 1 below:

Table 1: Cost of Socialized Default Amounts

a) LSE Credit Ratings (weighted average)	BBB	
b) Probability of Default	4.05%	
c) Loss Given Default	100%	
d) expected default %	2.4%	adjusted by the amount posted to PJM
e) Defaulted Amount	$73,839	=$555 x 1 x 365 x 15 x 2.4%
f) Collateral Held	$29,535	=$73,839 x 40%
g) Socialized Amount (=Defaulted Amount- Collateral Held)	$44,303	=$73,839 - $29,535
h) Socialized Cost to Non Default LSEs	$45,407	=$44,303 / (1-2.4%)

38. In Table 1:

a) LSE Credit Ratings represents the LSE portfolio's UCAP MW obligation weighted-average credit rating.

b) Probability of Default is 4.05%, based on the historical 10-year corporate default rate for BBB rated entities reported by S&P Global.

c) Loss Given Default is assumed to be 100%, reflecting the assumption that PJM would not recover any unsecured losses from LSEs.

d) Expected default % represents the assumed probability of default after accounting for the effect of collateral posted to PJM. For purposes of its economic analysis, PJM assumes that the probability of default decreases proportionately as the percentage of the RBP payment obligation secured by collateral increases, from 4.05% with no collateral to zero with full collateralization. This simplifying assumption reflects PJM's judgment that posting collateral can reduce the risk of default. At the proposed 40% collateral level, the resulting expected default percentage is approximately 2.4%.

e) Defaulted Amount is calculated by multiplying the gross RBP payment obligation by the Expected default %. For illustrative purposes, the gross RBP payment obligation is calculated using the assumed weighted-average RBP clearing price of $555/MW-day, 1 MW of committed capacity, 365 days per year, and a 15-year commitment term.

f) Collateral Held represents the LSE collateral requirement calculated using the applicable collateral percentage.

g) Socialized Amount represents the Defaulted Amount less the Collateral Held.

h) Socialized Cost to Non Default LSEs represents the Socialized Amount allocated among non-defaulting LSEs.

The Socialized Cost to Non Default LSEs of $45,407 is reflected as Point B in Figure 1 below.

F. Determination of the Optimal Collateral Percentage

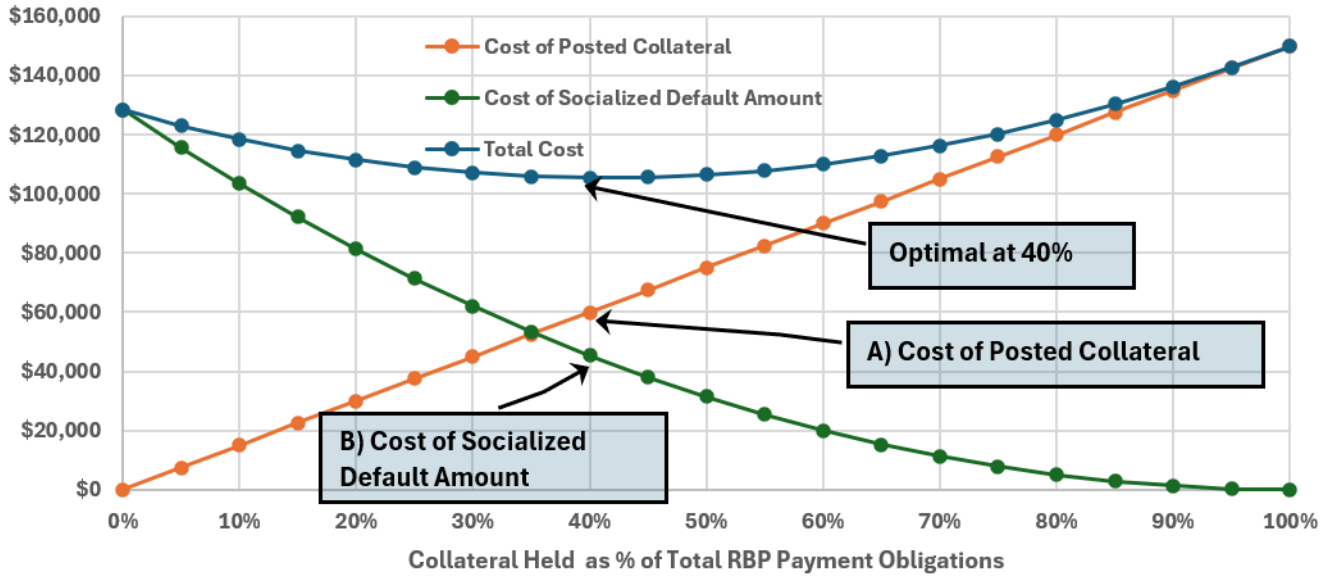
39. Using these inputs, PJM evaluated the combined expected costs of posting collateral and socialized default amounts at different collateral levels, expressed as percentages of the total RBP payment obligation (see Table 2 below).

40. Based on the assumptions used in PJM's economic analysis, the combined cost of posting collateral and expected socialized default amounts is minimized at a collateral level equal to 40% of the net present value of the total RBP payment obligation.

Table 2: Total Cost

Collateral Held %	Cost of Posted Collateral	Cost of Socialized Default Amount	Total Cost
0%	-	128,259	128,259
5%	7,495	115,510	123,005
10%	14,991	103,453	118,443
15%	22,486	92,084	114,570
20%	29,981	81,398	111,380
25%	37,476	71,392	108,869
30%	44,972	62,061	107,033
35%	52,467	53,400	105,867
40%	59,962	45,407	105,369
45%	67,457	38,075	105,532
50%	74,953	31,402	106,355
55%	82,448	25,383	107,831
60%	89,943	20,015	109,958
65%	97,438	15,292	112,731
70%	104,934	11,212	116,146
75%	112,429	7,770	120,199
80%	119,924	4,963	124,887
85%	127,419	2,786	130,205
90%	134,915	1,236	136,150
95%	142,410	308	142,718
100%	149,905	-	149,905

Figure 1: Optimal Collateralization



41. PJM therefore proposes to use a 40% factor in determining the RBP Credit Rate.

42. The 40% factor does not represent the percentage of gross RBP payments that PJM expects LSEs to pay through contract-for-differences settlements. Rather, it is the collateral percentage identified by PJM's economic analysis as minimizing the combined cost of posting collateral and expected socialized default amounts.

IV. Calculation of the RBP LSE Credit Requirement

43. Under PJM's proposed methodology, each LSE allocated responsibility for RBP Charges must maintain RBP Collateral sufficient to satisfy its RBP LSE credit requirement.

44. Each LSE's RBP LSE credit requirement is calculated by multiplying the RBP Credit Rate established following the applicable RBP auction by the LSE's Allocated RBP Credit MW.

RBP LSE Credit Requirement = RBP Credit Rate x Allocated RBP Credit MW

45. The RBP Credit Rate is an amount per MW calculated by applying the 40% factor to the net present value of the total RBP payment obligation per MW over the applicable RBP commitment term, using the weighted-average RBP clearing price of all RBP UCAP MW committed through the RBP.

46. Allocated RBP Credit MW means the RBP UCAP MW for which the LSE has been allocated responsibility for RBP Charges in accordance with the applicable Tariff provisions.

47. The RBP Credit Rate therefore establishes a uniform dollar-per-MW amount based on the weighted-average RBP clearing price and the proposed collateral methodology. Each LSE's total collateral requirement depends on the quantity of its Allocated RBP Credit MW.

48. For example, at an assumed weighted-average RBP clearing price of $555/MW-day, the proposed methodology produces an illustrative RBP Credit Rate of approximately $686,000 per MW. This amount is equivalent to approximately 3.4 years of undiscounted RBP payments per MW at the assumed clearing price.

49. The approximately $686,000-per-MW amount is illustrative and does not represent a fixed RBP Credit Rate under the proposed Tariff provisions. The actual RBP Credit Rate will be calculated using the weighted-average RBP clearing price determined from the procurement results.

50. The proposed methodology establishes the RPM Credit Rate by applying the 40% factor to the net present value of the total RBP payment obligation, rather than by requiring collateral equal to a specified number of years of payments.

V. Administration of the RBP LSE Credit Requirement

A. Posting of Collateral

51. The proposed Tariff provisions establish procedures for identifying the LSEs responsible for RBP Charges and requiring those LSEs to provide the applicable collateral before the beginning of each Delivery Year.

52. Electric Distributors will provide PJM with the information necessary to identify the LSEs responsible for RBP Charges and their respective Allocated RBP Credit MW.

53. LSEs responsible for RBP Charges must post or maintain the required RBP Collateral no later than 45 days before the beginning of the applicable Delivery Year.

54. The annual identification and collateral posting process recognizes that responsibility for serving load, and consequently responsibility for RBP Charges, may change over the RBP commitment term. This annual process does not alter the long-term nature of the underlying RBP commitments or the long-term economic basis for determining the RBP Credit Rate.

55. The proposed Tariff provisions also address circumstances in which an LSE is responsible for RBP Charges, but the information necessary to determine its Allocated RBP Credit MW has not been reported for the applicable Electric

Distributor zone or area. In those circumstances, PJM may determine the LSE's Allocated RBP Credit MW using its proportional share of the Daily Unforced Capacity Obligation for the zone or area, as specified in the Tariff.

56. In addition, the proposed Tariff provisions preserve PJM's authority to evaluate an LSE under the Unreasonable Credit Risk provisions of Attachment Q.

B. Acceptable Forms of Collateral

57. PJM proposes to accept RBP Collateral in the form of cash, letters of credit, or surety bonds, subject to PJM's acceptance of the provider, form, and amount of such collateral. Consistent with PJM's existing credit requirements, these forms of collateral are intended to provide reliable financial protection that PJM can access promptly when necessary, without conditions that could delay or impair its ability to obtain payment.

C. Relationship to Other PJM Credit Requirements

58. The RBP LSE credit requirement addresses payment exposure associated with RBP commitments and is separate from the credit requirements applicable to other PJM market activities.

59. PJM proposes that settlement during any Delivery Year of cleared positions resulting from, or expected to result from, the RBP, including payments and Locational Reliability Charges associated with the capacity commitments of RBP Resources, as well as RBP Charges, shall not be considered in Peak Market Activity under Tariff, Attachment Q, section VII.A. This treatment is intended to avoid duplicative collateral requirements for RBP-related exposure while preserving the application of other PJM credit requirements.

VI. Review of the RBP Credit Rate

60. Over the RBP commitment term, the inputs used to determine the RBP Credit Rate, including the overall credit quality of the LSE portfolio, may change.

61. Following the commencement of commercial operation of all capacity resources with RBP commitments, PJM shall review the RBP Credit Rate, including inputs used to determine that rate.

62. If PJM identifies material changes that would affect the RBP Credit Rate, PJM will reassess the RBP Credit Rate and present any resulting recommendations to PJM stakeholders through the Members Committee.

63. A change in the credit characteristics of an individual LSE does not, by itself, trigger an adjustment to the RBP Credit Rate.

VII. Reasonableness of the Revised Methodology

64. In my opinion, the revised RBP LSE credit methodology represents a reasonable approach to managing the financial risks associated with long-term RBP commitments.

65. Using the known weighted-average RBP clearing price as the basis for determining collateral allows PJM to establish meaningful credit protection without relying on forecasts of future RPM clearing prices or on the ability to obtain additional collateral later in the commitment term.

66. By considering both collateral costs and expected socialized default amounts, the methodology balances the interests of LSEs required to post collateral against those of LSEs that may bear losses resulting from another LSE's payment default.

67. Although alternative collateral methodologies are possible, including approaches based on projected contract-for-differences settlement exposure, PJM's proposed methodology reflects a reasonable credit risk management judgment that balances the need for long-term credit protection against collateral costs and expected socialized default amounts.

VIII. Conclusion

68. For the reasons explained above, I believe the proposed methodology represents a reasonable approach to establishing the RBP LSE credit requirement.

69. This concludes my affidavit.

UNITED STATES OF AMERICA
BEFORE THE
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PJM Interconnection, L.L.C.) Docket No. ER27-____-000

VERIFICATION

I, Gwen Kelly, pursuant to 28 U.S.C. § 1746, state, under penalty of perjury, that I am the Gwen Kelly referred to in the foregoing document entitled "Affidavit of Gwen Kelly, Senior Director Credit Risk and Collateral Management at PJM Interconnection, L.L.C.," that I have read the same and am familiar with the contents thereof, and that the facts set forth therein are true and correct to the best of my knowledge, information, and belief.

/s/ Gwen Kelly
Gwen Kelly
Sr. Director,
Credit Risk & Collateral Management
Risk Management
PJM Interconnection, L.L.C.